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POLICY NUMBER: JKM 010

REGIONAL
CLUSTER
DEPARTMENTS



PURPOSE

This policy aims to provide a clear understanding of the nature of the Cluster departments and allocation methods (i.e. for Hotel D's & ADOF, Finance Team Members, Cluster D's and other Regional Offices). Further it should also be a part of the induction program for team members in contact with Cluster Departments, joining Hilton or this Region.

POLICY SUMMARY

This policy provides in detail definitions of the Cluster Departments, their purpose, budgeting and forecasting processes of all Regional Cluster Departments. Further it defines clearly the formulas and accounting methods to be applied and ensures a regional standard.

APPLICABILITY

All Owned, Lease, Joint Venture and Managed Hotels.

EXCLUSIONS/EXCEPTIONS

No exclusions

A.Regional Cluster Department Definition

1) DOMESTIC INDIVIDUAL WHOLESALERS (IW)

- a) IW handles all products in regards to domestic travel wholesalers, media agents and benefit & welfare package companies contain Hilton hotels in Japan.
- b) Seeking and closing deals with Japanese travel agencies such as JTB, KNT and NTA. IW's purpose is also to enhance relationships with the agents to generate the business.
- c) The IW Cluster also communicates with the hotels to set up room rates and guest privileges for the products.

2) INTERNATIONAL MICE & IW SALES

- a) The department of International MICE & IW Sales assists in driving following revenues for the participating Cluster hotels:
 - i) Inbound meetings, incentives, conferences, and events
 - ii) Inbound individual wholesale (international FIT)
- b) The Cluster actively assists and facilitates the international sales effort at each participating hotel, manages local and international sales activities and concentrates on both wholesale and MICE. Each member of the Cluster will handle both inbound individual wholesale and MICE from assigned geographical source markets.

3) E-COMMERCE

- a) Ecommerce Cluster is in charge of driving hotel business through online channels, including owned channels (such as hilton.com, hotel local websites), and 3rd party sites (such as OTAs, restaurant sites).
- b) Main responsibilities include maintenance of the website (ensure all websites are up-to-date), optimization of websites (ensure the site is appealing to the customer to drive more business), and demand generation to drive more traffic to the websites (through online marketing activities).

4) HILTON PREMIUM CLUB JAPAN (HPCJ)

- a) HPCJ operates and grows the HPCJ program for participating hotels' revenue.
- b) HPCJ is a paid membership program aimed at driving incremental room revenue from high-net individuals for Hilton Worldwide brands in Japan, Conrad Seoul, and Hilton Busan.

5) PURCHASING (PUR)

- a) Cluster Purchasing aims to create a competitive advantage for the Hilton Worldwide Group Hotels through strategic supplier management and using resources efficiently across different hotels by seeking cost containment or benefit opportunities that contribute to Hotel EBITDA.
- b) National rebate programs or local rebate program represent the success of the cluster program.

6) Finance Shared Service

The following services are provided by the Japan Finance Shared Services team:

- a) Revenue Audit (RA): Operates Income Audit function on behalf of participating hotels.
- b) Order to Cash (OTC): Operates Accounts Receivable function on behalf of participating hotels.
- c) Procure to Pay (PTP): Operates Accounts Payable function on behalf of participating hotels.

7) Recruitment

- a) Recruitment specialized in Pre-opening's new graduate hiring process.
- b) The department is primary for the new opening hotels where the local HR head is not yet appointed, however it also provides the assistance to trading hotels for group level recruitment process.

8) Quality and Guest Experience

- a) A role that creates consistency in all guest area by training and follow ups. It also looks at every hotel to drive quality and guest experience performance to ensure our Team Members truly understands hospitality and an elevated service for all our guests.

B. Budgeting Process

- 1) Expenses of Cluster Departments are mainly defined as Payroll, Office and Travel as well as Contracts and Services
- 2) The respective Cluster Directors will define a detailed split of all revenues and expenses by the timeline set during the annual budgeting process
- 3) All Revenue & Expenses are Net (+ Service Charge if applicable but excluding of tax)
- 4) The total expenses will be allocated as per the pre-defined allocation formulas based on current year "Actuals" and "Latest Forecast" numbers
- 5) This allocation, "The Cluster Budget", will be sent to each hotel for their budgeting process
- 6) Once the final hotel budgets have been confirmed, a new allocation will be calculated based on the individual Hotels budget numbers.

C. Forecasting Process

- 1) Monthly the Cluster Allocation aims to be completed by 10th of each month – which includes the distribution of last month actual reports to the Cluster Directors
- 2) The Cluster Directors will update their forecast files and review/amend their forecast. This will be submitted to Regional Finance no later than 15th of every month.
- 3) All Revenue & Expenses are Net (+ Service Charge if applicable but excluding of tax)
- 4) Regional Finance will update the allocation based on actuals and submit the forecast to the hotels quarterly or when a material change occurs. (+/- USD 5k).
- 5) Hotels are required to review their full year allocation and amend their forecast accordingly

D.Chart of Accounts Usage

- 1) The correct chart of account numbers for charges and accruals can be taken from any recent cluster forecast
- 2) Current codes are as follows (as per date in header under “last updated”) – “please always first refer to the codes issued with the latest forecast”
 - a) 11730-720241 Regional Marketing (Marketing Coop Fund)
 - b) 11730-720243 Int. MICE & IW
 - c) 11257-670115 IW Sales
 - d) 11730-720242 e-Commerce
 - e) 11500-438310 HPCJ Revenue
 - f) 11730-670122 HPCJ Expenses
 - g) 11710-720240 Purchasing
 - h) 11705-720010 Finance Shared Service
 - i) 11725-720240 Recruitment
 - j) 11001-720240 Quality and Guest Experience

E.Hotel Accounting Treatment

- 1) While expenses will be forecasted as accurate as possible, the following situations will cause expenses to fluctuate and be reallocated
 - a. Hotel performance changes, influencing the distribution ratio
 - b. Delays in program execution
 - c. Unscheduled extensions of certain programs
 - d. Changing business environment demanding changes to planned programs & events
 - e. Cancellation of events or required attendance to unplanned events
 - f. Changes in manning within the Cluster Department
- 2) Accruals
 - a. Accruals are based on previous month forecast and must not exceed 1 month
 - b. All accruals must receive a true up in the following month – matched with the actual invoice received and corrected
 - c. As the hotel split can change based on the individual hotels performance, the forecast must be reviewed regularly and updated as this is the base of the accruals
 - d. The net accruals are allocated from each dedicated P&L Expense Account (see section D – Chart of Accounts usage) to Balance Sheet Account 239990 as auto-reversing entries. Actual expenses received by invoice are to be charged to the dedicated P&L Expense Account
 - e. All Cluster department expenses not invoiced are considered as not spent. No accruals can be provided for those expenses. Variances to budget/forecast must be reflected in the P&L
 - f. Exceptional accruals for extraordinary programs might be required over a period longer than 1 month. This will be advised by Regional Office

F.Flow of Information

<u>Revenue/ Expenses</u>	<u>Provided by:</u>	<u>Due date:</u>
Available Rooms	Regional Finance – monthly	Day 3
Net Rooms Revenue	Regional Finance – monthly	Day 3
Net Hotel Revenue	Regional Finance – monthly	Day 3
Net Hotel Expenses	Regional Finance – monthly	Day 3
Net Outlet Revenue	Regional Finance – monthly	Day 3
Net General Banquet Revenue	Regional Finance – monthly	Day 3
Net Wedding Revenue	Regional Finance – monthly	Day 3
HPCJ Rooms Revenue	HPCJ submission – monthly	By 15 th
HPCJ Occupied Rooms	HPCJ submission – monthly	By 15 th
Domestic IW Revenue	IW Cluster submission – monthly	By 15 th
Web Direct Revenue	e-Commerce submission – monthly	By 15 th
Inbound Revenue	Int. MICE submission – monthly	By 15 th
Cluster Department Expenses	Cluster Directors – monthly	By 15 th

G.Year End Adjustments

- 1) An estimate of the December expenses will be provided to all hotels prior to year-end closing by the Regional Accountant. Those are to be used as the final accruals and settled against the actual expense received in January.
- 2) As all Cluster Departments are linked to a return on investment, it's in the best interest to ensure all programs and service have been utilized and completed before the end of the year. In this manner no accruals can be carried forward and all must be released prior to Dec 31st. (exception applies when instructed in writing by the Regional Director of Finance)
- 3) Regional Directors who supply information for allocation methods (e.g. Web Direct Revenue, defined Inbound Revenue, ...) are to supply this information on or at the last working day prior to January 10th of every year to ensure accurate allocation of December Year End expenses

H.Allocation Formulas & Split

CLUSTER DEPARTMENTS SPLIT - SUMMARY:

1) Domestic Individual Wholesale:

Full year 12 mth ratio of Domestic IW Revenue & Applicable Expenses

For Niseko only: Full year 12 mth ratio of total of (Domestic IW Revenue & Media Production Revenue) & Applicable Expenses

2) International MICE & IW Sales:

Full Year 12 mth ratio of defined Inbound Revenue & Applicable Expenses

3) e-Commerce:

50% Equal Split

50% Full year 12 mth ratio of Web Direct Revenue and Applicable Expenses

4) HPCJ:

Revenues: Full Year 12 mth ratios of HPCJ Rooms Revenue & HPCJ Occupied Rooms & YTD based Revenue

Expenses: Full Year 12 mth ratios of HPCJ Rooms Revenue & HPCJ Occupied Rooms & YTD based Expenses

5) Purchasing:

Full Year Net Hotel Expense ratio & Applicable Expense

6) Finance Shared Service:

Each month, the total expenses incurred by FSS are recharged out to participating hotels based on a modulated ratio of FTE effort.

Hotels are categorized into Tiers 1-5 depending on complexity and FTE effort required to service the hotel for each tower. Based on these tiers, the level of FTEs to perform each service is determined.

Tiers	Type	Hotel Room	F&B Outlet	C&E	SPA Fitness
1	Full Service	800-1000	5 and more	>10	Y
2	Full Service	500-799	3-4	7-10	N
3	Full Service	300-499	2	4-6	
4	Full Service	up to 299	1	1-3	
5	Focused Service	HGI			

7) Recruitment:

Allocation Category:

New Opening Hotels will be categorized under "New Opening Hotel Group" in the earlier of October of two years before the expected opening day, or the signing of Management Agreement.

A Hotel under "New Opening Hotel Group" category will convert into "Trading Hotel Category" three full months after the appointment of local HR head.

Hotel Allocation Ratio:

75% of the expense to be equally allocated within New Opening Hotel Group, with the cap of maximum 25% allocation to each hotel.

Balance to be equally allocated within Trading Hotel Group.

Hotels that do not perform any New Graduate hiring will be excluded from this allocation, with the instruction of Director of Regional HR.

8) Quality and Guest Experience:

Full Year 12 mth ratios of Number of FTE & Total Hotel Operating Revenue and Applicable Expenses

CLUSTER DEPARTMENTS SPLIT - DETAILS:

2. Domestic Individual Wholesale:

Hotel Allocation Ratio

- a) Full year 12 mth Hotels Domestic IW Revenue

Hotel Allocation of Expense

- a) $\text{Applicable Expenses} \times \text{Hotel Allocation Ratio}$

3. International MICE & IW Sales:

Hotel Allocation Ratio

- a) Full year 12 mth pre-defined Inbound MICE Revenue

Hotel Allocation of Expense

- a) $\text{Applicable Expenses} \times \text{Hotel Allocation Ratio}$

4. E-Commerce:

Hotel Allocation Ratio

- a) Full year mth Web Direct Revenue

Hotel Allocation of Expense

- a) 50% Equal distribution of current month expenses
- b) $50\% \text{ Applicable Expenses} \times \text{Hotel Allocation Ratio}$

5. HPCJ:

Hotel Allocation Ratio

- a) Full year 12 mth Hotel HPCJ Rooms Revenue
- b) Full year 12 mth Hotel HPCJ Room Nights

$$= \text{Ratios of } ((a) + (b)) / 2$$

Hotel Allocation of Revenue & Expense

- a) Applicable Revenue x Hotel Allocation Ratio
- b) Applicable Expenses x Hotel Allocation Ratio

6. Purchasing:

Hotel Allocation Ratio

- a) Full year Hotel Net Expenses Ratio less Payroll, less Energy, less GS&B

Hotel Allocation of Expenses

$$\text{Applicable Expenses x Hotel Allocation Ratio}$$

7. Finance Shared Service:

Shared Service OTC:

Hotel Allocation Ratio

- a) OTC FTE # required based on hotel tier
- b) Total OTC FTEs in FSS

$$= \text{Ratios of } (a) / (b)$$

Hotel Allocation of Expenses

- a) Applicable Expenses x Hotel Allocation Ratio

Shared Service RA:

Hotel Allocation Ratio

- a) RA FTE # required based on hotel tier
- b) Total RA FTEs in FSS

$$= \text{Ratios of } (a) / (b)$$

Hotel Allocation of Expenses

- a) Applicable Expenses x Hotel Allocation Ratio

Shared Service PTP:

Hotel Allocation Ratio

- a) PTP FTE # required based on hotel tier
- b) Total PTP FTEs in FSS

$$= \text{Ratios of } (a) / (b)$$

Hotel Allocation of Expenses

- a) Applicable Expenses x Hotel Allocation Ratio

9. Quality and Guest Experience:

Hotel Allocation Ratio

- a. Full year 12 mth Hotel FTE
 - b. Full year 12 mth Hotel Total Operating Revenue
- = Ratios of ((a) + (b)) / 2

Hotel Allocation of Expenses

- b) Applicable Expenses x Hotel Allocation Ratio